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Crypto Datacenters Are Invisible — But Taxpayers Still Foot the Bill

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Across the U.S., datacenters are being approved at a pace few people realize. States like Ohio, Iowa, Texas, Virginia, Georgia, and Michigan each have **20–30 new sites** in development — far beyond the handful of hyperscale campuses most people know about.

The public conversation focuses on "AI growth," "innovation," and "jobs." But inside these buildings, something else is happening:

Crypto mining is quietly occupying subsidized datacenter space — and the public has no way to see it.

And that's the problem.

1. Datacenter incentives apply to the building, not the tenant

When a datacenter is approved, states and counties typically offer:

- 20–30 year **property tax abatements**
- **Sales and use tax exemptions** on equipment
- **Discounted energy tariffs**
- **Infrastructure upgrades** paid by the public

These incentives are granted to the **operator**, not the tenants inside.

So if a datacenter hosts:

- AI workloads
- cloud services
- enterprise compute
- and **crypto mining**

...every tenant benefits from the same public subsidy.

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There is **no mechanism** to separate tax benefits by workload type.

2. Crypto tenants hide behind LLC chains

Crypto operators rarely lease space under their real brand. Instead, they use:

- shell LLCs
- private equity vehicles
- “digital asset infrastructure” fronts
- “HPC compute” euphemisms

These entities are designed to:

- avoid public scrutiny
- avoid regulatory attention
- qualify for tech-investment incentives
- blend in with legitimate tenants

To the public, the building looks like “AI infrastructure.” Inside, a portion may be **pure crypto mining**.

There is no disclosure requirement. No transparency. No tenant list. No workload reporting.

3. Crypto workloads are indistinguishable from AI at the electrical level

To the grid, crypto looks like:

- high load
- steady draw
- predictable thermal output

To the public, it looks like:

- “AI compute”
- “cloud infrastructure”
- “HPC”

Unless the operator voluntarily discloses the tenant’s purpose, **you cannot tell crypto from AI by looking at the building**.

This is a structural blind spot.

4. The public pays now — crypto profits now — and the tax revenue arrives decades later

This is where **Inverted Economics** kicks in.

Normal economics:

Private capital pays → public benefits later.

Datacenter economics:

Public pays → private capital extracts → public waits 30 years.

Crypto intensifies the inversion:

- high power usage
- low employment
- short-term tenancy
- speculative profit cycles
- no long-term tax base
- no community benefit

Crypto tenants effectively receive **public subsidies** without delivering:

- jobs
- stability
- local investment
- long-term tax revenue

They ride the incentive structure meant for "innovation," then leave when the market shifts.

The community is left with:

- grid strain
- water usage obligations
- land-use impact
- deferred tax revenue
- no economic return

5. Why this matters now

The datacenter boom is happening at the exact moment the public is waking up to:

- AI energy consumption
- crypto environmental impact
- water usage
- land use
- tax deferrals
- job creation myths

People are asking: ***"Who is actually using these datacenters?"***

Right now, the answer is: **You can't know.** There is no transparency. Crypto tenants are invisible — but subsidized.

6. The policy gap

There is **no requirement** for datacenter operators to disclose:

- tenant identity
- workload type
- energy allocation by tenant
- tax-benefit distribution
- crypto presence
- private equity shell involvement

This is the loophole crypto exploits.

It's not illegal. It's not regulated. It's simply **unseen**.

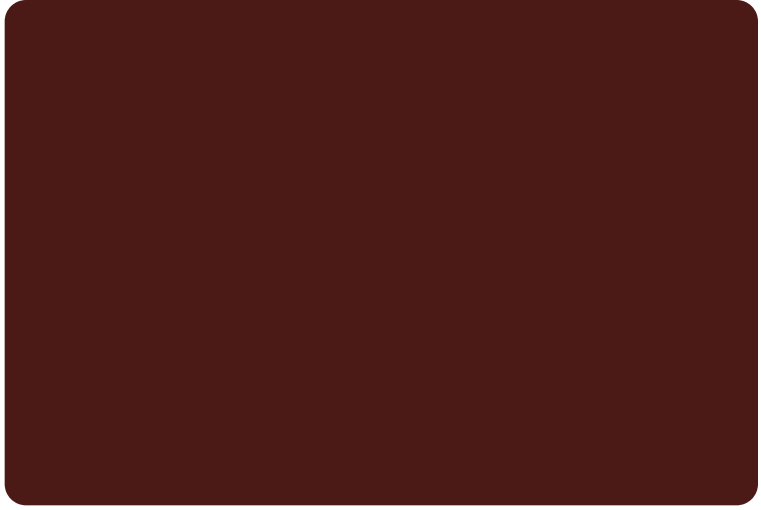
7. The bottom line

> **Crypto mining inside datacenters is effectively subsidized by taxpayers — even though the public cannot see it, cannot regulate it, and cannot evaluate its impact.** Because incentives apply to the building, not the tenant, crypto operators benefit from 20–30 year tax abatements intended for "innovation," "AI," and "job creation," while delivering none of those outcomes. This is a structural blind spot in datacenter policy — and it is being exploited at scale.

If states want to protect taxpayers, they need:

- tenant transparency
- workload disclosure
- incentive segmentation
- crypto-specific regulation
- clawback mechanisms
- public reporting requirements

Until then, crypto will continue to operate inside subsidized infrastructure — invisible to the public, but paid for by them.



DATACENTER INCENTIVE LOOPHOLE

(How Crypto Mining Receives Public Subsidies)

STEP 1 — INCENTIVES ARE GRANTED

State/county approves a datacenter and grants:

- 20–30 year property tax abatements
- Sales/use tax exemptions on equipment
- Discounted energy tariffs
- Publicly funded grid + water infrastructure

These incentives apply to the **building**, not the tenants.

STEP 2 — TENANT LIST IS PRIVATE

Datacenter operators are NOT required to disclose:

- who their tenants are
- what workloads they run
- how much power each tenant uses
- which tenants benefit from tax incentives

Tenant identity is treated as proprietary information.

STEP 3 — CRYPTO HIDES BEHIND LLC SHELLS

Crypto mining companies lease space using:

- shell LLCs
- private equity vehicles
- “digital asset infrastructure” fronts
- “HPC compute” euphemisms

This makes crypto indistinguishable from AI or cloud tenants.

STEP 4 — CRYPTO OCCUPIES SUBSIDIZED SPACE

Because incentives apply to the building:

- crypto tenants receive subsidized power
- crypto tenants receive subsidized cooling
- crypto tenants receive subsidized land + infrastructure
- crypto tenants pay lower lease rates than market reality

All without delivering jobs, stability, or long-term tax revenue.

STEP 5 — PUBLIC PAYS NOW, PRIVATE PROFITS NOW

Crypto mining:

- extracts profit in 3–7 year cycles
- employs almost no one
- leaves when markets shift
- contributes no long-term tax base

Meanwhile the public:

- pays for grid upgrades
- pays for water infrastructure
- loses 20–30 years of tax revenue
- inherits environmental + land-use impact

STEP 6 — NO POLICY MECHANISM TO STOP IT

There is currently:

- no tenant transparency requirement
- no workload disclosure requirement
- no crypto-specific regulation
- no incentive segmentation
- no clawback mechanism

Crypto remains invisible — but subsidized.

BOTTOM LINE:

Datacenter incentives were designed for “innovation” and “jobs.”
Crypto mining exploits those incentives through tenant opacity,

LLC shells, and a loophole that ties tax benefits to the building, not the workload. The public subsidizes a tenant it cannot see.

